CITY OF PACIFIC GROVE

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE "R"

TRANSACTIONS AND USE (SALES) TAX

Like many California cities, the City of Pacific Grove ("City") imposes a local transactions and use tax, which is often referred to as a "sales tax." Such a tax is imposed on the sale, use, storage, or consumption of tangible personal property within the City. Currently, the City's sales tax is 1.5%.

Recently, the Pacific Grove City Council voted to place Measure R on the ballot, which would increase the current sales tax rate by 0.375% for a period of ten years. The revenues raised by Measure R would be in addition to existing state and local sales taxes and would be collected along with those taxes.

Measure R is a general tax measure that requires approval by a simple majority (50% + 1 vote) of City voters. If approved by voters, the revenues generated by Measure R would be allocated to the City's General Fund for general government purposes, to include public safety and fire prevention, infrastructure and facility repair, and maintenance of streets, sidewalks, beaches, and parks.

The sales tax increase authorized by Measure R would remain in effect for ten years, then automatically expire.

A "yes" vote on Measure R is a vote to approve the 0.375% sales tax increase for a period of ten years.

A "no" vote on Measure R is a vote not to approve the 0.375% sales tax increase.